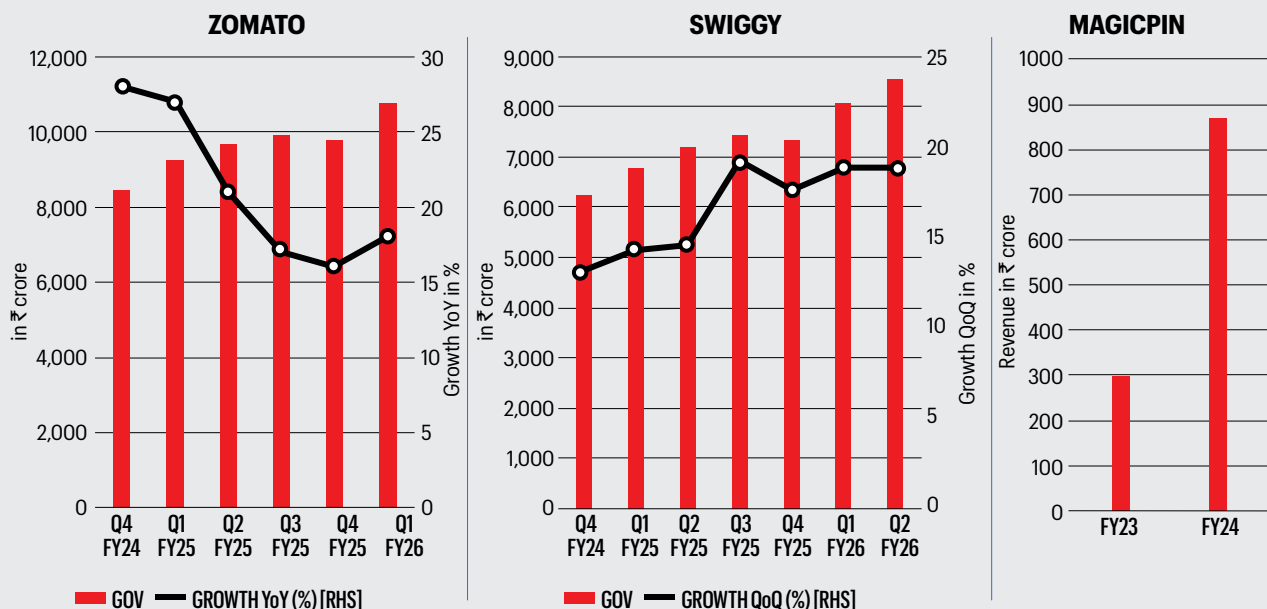


DELIVERY DILEMMA

- GROSS ORDER VALUE (GOV) GROWTH HAS BEEN UNDER PRESSURE FOR BIGGER PLAYERS
- NEW PLAYERS LIKE MAGICPIN ARE CHANGING THE MARKET WITH THEIR VALUE OFFERINGS



ZOMATO STOPPED DISCLOSING GOV FROM Q2FY26 BUT SHOWS YOY CHANGE TO 14% IN NOV
SOURCE QUARTERLY RESULTS FOR ZOMATO AND SWIGGY; ANNUAL REPORT FOR MAGICPIN

constraints, and cannibalisation from quick-commerce verticals.”

Sriharsha Majety, CEO, Swiggy, emphasises a fundamental challenge, reflected in results for Q1FY25. “The biggest unlock for the sector is affordability,” he said. “The challenge lies in delivering value without subsidies or compromising service.” During the recently announced Q2 results, Majety said with affordability likely to be the single largest unlock, it is incumbent upon market creators such as Swiggy to try multiple approaches and see what succeeds, even if that means disrupting the status quo.

TOWARDS DUOPOLY

Food delivery in India is a saga of boom, bust and consolidation. It

began modestly in 2008 with Zomato—then Foodiebay, a no-frills restaurant discovery platform. The years that followed saw the entry of a raft of competitors—Foodpanda, TinyOwl, Uber Eats—that were consumed by a market notorious for high burn rates and razor-thin margins.

The landscape changed in 2014 with the entry of Swiggy, which brought new energy and operational rigour to the business. The year was a high watermark for entrepreneurial appetite with the launch of 234 food delivery start-ups, according to TrueGrit Analysis’ Ankit Arora, an independent advisor and former investor and board observer at Swiggy and AgroStar. The number peaked at

625 in 2015. The sector grew 40% to about \$42 million in 2014. The inflection point came in 2018 when Zomato and Swiggy joined the unicorn club, signalling the arrival of big money. The frenzy was short-lived. By 2020, the field had narrowed to just 20-25 serious competitors. Post-2020 investor caution triggered consolidation, culminating in the 2025 troika of Zomato (now known as Eternal), Swiggy and magicpin, which operates as a buyer-side app on the government’s Open Network for Digital Commerce platform. India’s online food delivery market is projected to hit \$600 billion by 2035, says Imarc.

Just as the market seemed to have settled, growth metrics began